

New to Mutual Funds? Start Here.

Mutual funds don't have to feel complicated. Let's understand the basics - one simple question at a time.

LEARNING LIBRARY

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Mutual funds don't have to feel complicated. Let's understand the basics—one simple question at a time.

Same Questions. Simpler Answers.

It's easier when you understand it.

Better Questions Brighter Tomorrow

MotivWealth

What is a mutual fund?

A pool of money from many investors, invested by professionals.

Companies (Shares)

Bonds (Debt Securities)

Other Investments

You receive units of the scheme

What is an SIP?

A simple way to invest regularly in a mutual fund.

₹5,000 every month

Discipline today, more options tomorrow.

A small step regularly can make a big difference over time.

Invest for your goals

Start with what you are investing for not just the fund.

Retirement

Child's Education

Home

Financial Independence

A clearer goal makes the journey easier.

From Confusion to Clarity

You don't need to know everything at once. Just take the first step.

Learn the basics

Understand your goals

Use tools like our calculators

Invest with confidence

"Good financial conversations can change your tomorrow."
— Meghna

Financial Confidence For a Brighter You

Knowledge

Planning

Action

A Brighter You

A beginner-friendly guide from MotivWealth

“I've heard about mutual funds. But I don't really understand them.”

If that sounds familiar, you're not alone. Perhaps you've heard friends talking about SIPs. Maybe you've seen advertisements about mutual funds. Or perhaps you've been meaning to start investing but aren't quite sure where to begin.

Then you come across words like NAV, equity, debt, expense ratio, Riskometer, Regular Plan and Direct Plan - and something that should be straightforward suddenly starts feeling complicated.

It doesn't need to.

At MotivWealth, we believe you don't have to become a financial expert before you start thinking about investing. You just need to understand a few important things:

- **What am I investing in?**
- **Why am I investing?**
- **How long can I stay invested?**
- **What risks am I taking?**

So let's start at the beginning.

“Okay Meghna, first things first. What exactly is a mutual fund?”

Think of a mutual fund as a pool of money contributed by many investors. That money is invested according to the objective of the particular mutual fund scheme.

Depending on the scheme, the money may be invested in shares of companies, bonds and other debt securities, money-market instruments, or a combination of different assets.

Instead of you having to select and manage every individual security yourself, the mutual fund portfolio is managed professionally according to the scheme's stated investment objective. When you invest, you receive units of that mutual fund scheme.

Meghna explains: *Think of the mutual fund as the vehicle. You don't need to memorise every vehicle available - first understand where you want to go.*

“Can you give me a really simple example?”

Of course. Imagine you invest ₹10,000 in a mutual fund. Thousands of other investors may also invest in the same scheme. The fund pools that money and invests it according to the scheme's investment strategy.

You invest ₹10,000	You receive units	The fund invests as per its objective	Your unit value can rise or fall
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If the value of the underlying investments rises, the value of your investment may rise. If their value falls, your investment may fall too. That is why mutual fund returns are market-linked and are not guaranteed.

“I've heard the word NAV. What does that mean?”

NAV stands for Net Asset Value. In simple terms, it represents the per-unit value of a mutual fund scheme.

For a very simplified illustration, if you invest ₹10,000 when the NAV is ₹50, you would receive approximately 200 units, ignoring applicable charges or adjustments for this simple example.

A lower NAV does not mean a mutual fund is cheaper or better.

A fund with an NAV of ₹20 is not automatically a better investment than a fund with an NAV of ₹200. NAV by itself should not be used to decide which fund to invest in.

***Meghna explains:** Don't choose a mutual fund simply because its NAV looks low. NAV alone tells you very little about whether a scheme is appropriate for you.*

“And what exactly is an SIP?”

SIP stands for Systematic Investment Plan. An SIP is simply a way of investing a specified amount into a mutual fund scheme at regular intervals.

For example: ₹5,000 every month

Instead of investing a large amount at one time, you invest regularly. The important point is that an SIP is not a separate investment product. You are investing in a mutual fund through an SIP.

***Investor:** So when I say, “I've invested in an SIP,” that's not quite accurate?*

***Meghna:** Exactly. SIP is the method. The mutual fund scheme is the investment.*

“Then should I invest through SIP or put in a lumpsum?”

They are simply two different ways of investing. With an SIP, you invest periodically - for example, every month. With a lumpsum investment, you invest a larger amount at one time.

Neither method automatically guarantees a better return. What may be appropriate depends on factors such as how much money you have available, why you are investing, your investment horizon and your ability to tolerate market fluctuations.

“Are all mutual funds basically the same?”

No. There are many categories, but a beginner can start by understanding three broad groups.

Equity Mutual Funds

Invest predominantly in equities. Their values can fluctuate significantly with markets, so they generally involve greater market risk and are commonly considered for longer investment horizons.

Debt Mutual Funds

Invest predominantly in debt and money-market instruments. They may fluctuate differently from equity funds but should not be assumed to be risk-free. Debt funds can carry risks such as interest-rate risk and credit risk.

Hybrid Mutual Funds

Invest across more than one asset class, commonly combining equity and debt in different proportions. Their risk depends on how the particular scheme invests.

Meghna explains: *You don't need to memorise every mutual fund category before you begin. First understand what equity, debt and hybrid broadly mean. We can build from there.*

“But Meghna... can I actually lose money?”

Yes.

Mutual funds are market-linked investments. Their value can rise and fall, and different schemes carry different types and levels of risk.

That's why one of the least useful questions for a beginner is: "Which mutual fund gives the highest return?"

More useful questions are:

- What am I investing for?
- When will I need the money?
- How much fluctuation can I reasonably tolerate?
- What role will this investment play in my overall finances?

The MotivWealth approach: Start with the investor. Not the fund.

"When people say a mutual fund is risky, what does that actually mean?"

Risk does not simply mean, "Will I lose all my money?" It can include the possibility that your investment falls in value, does not generate the return you assumed, fluctuates significantly when you need the money, or does not keep pace with your financial goal.

Before investing, understand the scheme's objective, look at its Riskometer and read the relevant scheme documents.

***Meghna explains:** Risk isn't something to be frightened of or ignored. It is something to understand.*

"What are Regular and Direct Plans? I keep seeing both."

Mutual fund schemes generally offer Regular Plans and Direct Plans. This is an important distinction to understand before you invest.

Regular Plan

When you invest in a Regular Plan through a mutual fund distributor such as MotivWealth, the distributor may receive commission from the Asset Management Company.

Direct Plan

A Direct Plan does not involve distributor commission and generally has a lower expense ratio than the corresponding Regular Plan.

“Expense ratio? That's another new term.”

Managing and operating a mutual fund involves expenses. The Total Expense Ratio (TER) represents expenses charged to the scheme in accordance with applicable regulations. These expenses affect the scheme's NAV and therefore ultimately affect investor returns.

Expense ratios can differ between schemes and between Regular and Direct Plans. You don't need to become an expert in TER calculations today. The important takeaway is simple: costs matter, so understand them before you invest.

“Can anyone tell me what return I will get?”

No one can guarantee the future return of a mutual fund.

Past performance does not guarantee future performance. And when you use a calculator showing what an investment could become, the result depends entirely on the assumptions used.

That is why MotivWealth calculators ask you to choose an assumed annual return. The result is an illustration - not a prediction.

“How long should I stay invested?”

There isn't one correct holding period for every mutual fund or every investor. Think about when you will need the money.

Money you may need relatively soon should not necessarily be approached in the same way as money being accumulated for a goal many years away. Your investment horizon should be considered alongside the nature and risk of the investment.

***Meghna explains:** Before asking how long you should hold a fund, ask when you actually need the money. Your goal gives the investment a purpose.*

“So where should I actually begin?”

Before choosing a mutual fund, ask yourself five simple questions:

1. What am I investing for?

Retirement? Your child's education? A future home? Long-term wealth creation? Greater financial independence?

2. When will I need the money?

Your time horizon matters.

3. How much can I invest comfortably?

Investing should fit into your broader financial life.

4. How much fluctuation can I tolerate?

Understanding your comfort with risk matters.

5. Do I understand what I'm investing in?

Never hesitate to ask questions.

Don't begin with:
"Which mutual fund should I buy?"

Begin with:
"What am I investing for?"

Once the purpose becomes clearer, it becomes easier to think about the amount, investment horizon and risk involved.

That's enough for today.

Seriously. You don't need to understand every mutual fund category, ratio and acronym in one sitting.

If you've reached this point, you already understand some of the most important basics: a mutual fund is the investment; an SIP is a way of investing; returns are not guaranteed; risk matters; costs matter; and your goal should come before choosing a fund.

That's a good place to start.

What would you like to understand next?

- [What is an SIP and How Does It Work?](#)
- [Equity, Debt & Hybrid Funds - Simply Explained](#)
- [Understanding Risk Before You Invest](#)
- [Goal-Based Investing: Giving Your Money a Purpose](#)

Still thinking, "I understand this better now, but I'm not sure where to start?"

That's perfectly fine. Learning comes before investing. If you would like help understanding the mutual fund investment process or the options available through MotivWealth, you can speak with Meghna.

About MotivWealth

MotivWealth is the brand name used by Meghna Prakash, an AMFI-registered Mutual Fund Distributor (ARN-330963 | EUIN-E628002). MotivWealth / Meghna Prakash is not presented as a SEBI-registered Investment Adviser.

Mutual Fund investments are subject to market risks. Read all scheme-related documents carefully.